Step 4 – Taxable income

Handout Q #4

Enter the amount from line 58 of the previous page.				59
Canadian Armed Forces personnel and police deduction (box 43 of all T4 slips)	24400		60	
...rity options deductions (boxes 39, 41, 91, and 92 of all T4 slips or see Form T1212)	24900	+	61	
...itional security options deduction (use Federal Worksheet)	24901	+	62	
Other payments deduction (enter the amount from line 14700 if you did **not** enter an amount on line 14600; otherwise, use Federal Worksheet)	25000	+	63	
Limited partnership losses of other years	25100	+	64	
Non-capital losses of other years	25200	+	65	
Net capital losses of other years	25300	+	66	
Capital gains deduction for qualifying business transfer (complete Form T2048)	25395	+	67	
Capital gains deduction (complete Form T657)	25400	+	68	
Northern residents deductions (complete Form T2222)	25500	+	69	
Additional deductions (specify):	25600	+	70	
Add lines 60 to 70.	25700	=	▶	71
Line 59 minus line 71 (if negative, show in brackets)			=	72
Capital gains reduction add-back (complete Schedule 3)	25999	+	0.00	73
Line 72 plus line 73 (if negative, enter "0") **Taxable income**	26000	=	80000.00	74

Step 5 – Federal tax

Net Income and Taxable Income is $80,000

Part A – Federal tax on taxable income

Use the amount from line 26000 to complete the appropriate column below.

	Line 26000 is $55,867 or less	Line 26000 is more than $55,867 but not more than $111,733	Line 26000 is more than $111,733 but not more than $173,205	Line 26000 is more than $173,205 but not more than $246,752	Line 26000 is more than $246,752	
...mount from line 26000						75
Line 75 minus line 76 (**cannot** be negative)	– 0.00 =	– 55,867.00 =	– 111,733.00 =	– 173,205.00 =	– 246,752.00 =	76 / 77
Line 77 multiplied by the percentage from line 78	× 15% =	× 20.5% =	× 26% =	× 29% =	× 33% =	78 / 79
Line 79 plus line 80	+ 0.00	+ 8,380.05	+ 19,832.58	+ 35,815.30	+ 57,143.93	80
Federal tax on taxable income	=	=	=	=	=	81

Enter the amount from line 81 on line 124 and continue at line 82.

Part B – Federal non-refundable tax credits

Basic personal amount:
If the amount on line 23600 is **$173,205 or less**, enter $15,705.
If the amount on line 23600 is **$246,752 or more**, enter $14,156.
Otherwise, use the Federal Worksheet to calculate the amount to enter.

	(maximum $15,705) 30000		15705.00	82
Age amount (if you were born in 1959 or earlier) (use Federal Worksheet)	**(maximum $8,790)** 30100	+	3438.75	83
Spouse or common-law partner amount (complete Schedule 5)	30300	+	12705.00	84
Amount for an eligible dependant (complete Schedule 5)	30400	+		85
Canada caregiver amount for spouse or common-law partner, or eligible dependant age 18 or older (complete Schedule 5)	30425	+		86
Canada caregiver amount for other infirm dependants age 18 or older (complete Schedule 5)	30450	+	1675.00	87
Canada caregiver amount for infirm children under 18 years of age (see Schedule 5) ...umber of children you are claiming this amount for 30499 × $2,616 =	30500	+		88
...dd lines 82 to 88.		=	48598.75	89

Part B – Federal non-refundable tax credits (continued)

Enter the amount from line 89 of the previous page.				48 598 75	90
Base CPP or QPP contributions (complete Schedule 8 or Form RC381, whichever applies):					
through employment income	30800	3217 50	•		91
on self-employment income and other earnings	31000	+	•		92
Employment insurance premiums:					
through employment (boxes 18 and 55 of all T4 slips) **(maximum $1,049.12)**	31200	+ 1049 12	•		93
on self-employment and other eligible earnings (complete Schedule 13)	31217	+	•		94
Volunteer firefighters' amount (VFA)	31220	+			95
Search and rescue volunteers' amount (SRVA)	31240	+			96
Canada employment amount: Enter **whichever is less:** $1,433 **or** line 1 plus line 2.	31260	+ 1433 00			97
Home buyers' amount **(maximum $10,000)**	31270	+			98
Home accessibility expenses (use Federal Worksheet) **(maximum $20,000)**	31285	+			99
Adoption expenses	31300	+			100
Digital news subscription expenses **(maximum $500)**	31350	+			101
Add lines 91 to 101.		= 5699 62	▶	+ 5699 62	102
Pension income amount (use Federal Worksheet) **(maximum $2,000)**	31400	+			103
Add lines 90, 102, and 103.				= 54298 37	104
Disability amount for self (if you were under 18 years of age, use Federal Worksheet; **if not**, claim $9,872)	31600	+			105
Disability amount transferred from a dependant (use Federal Worksheet) Beyond scope of this question	31800	+			106
Add lines 104 to 106.				= 54298 37	107
Interest paid on your student loans (see Guide P105)	31900	+			108
Your tuition, education, and textbook amounts (complete Schedule 11)	32300	+			109
Tuition amount transferred from a child or grandchild Beyond scope of this question	32400	+			110
Amounts transferred from your spouse or common-law partner (complete Schedule 2)	32600	+			111
Add lines 107 to 111.				= 54298 37	
Medical expenses for self, spouse or common-law partner and your dependent children under 18 years of age	33099				113
Amount from line 23600 × 3% =					114
Enter **whichever is less:** $2,759 or the amount from line 114.		–			115
Line 113 minus line 115 (if negative, enter "0")		=			116
Allowable amount of medical expenses for other dependants (use Federal Worksheet)	33199	+			117
Line 116 plus line 117	33200	=	▶	+	118
Line 112 plus line 118			33500	= 54298 37	119
Federal non-refundable tax credit rate				× 15%	120
Line 119 multiplied by the percentage from line 120			33800	= 8144 76	121
Donations and gifts (complete Schedule 9)			34900	+	122
Line 121 plus line 122 **Total federal non-refundable tax credits**			35000	= 8144 76	123

Line 30000 – Basic personal amount

Federal Worksheet

If the amount from line 23600 of your return is:

- **$173,205 or less**, enter $15,705 on line 30000 of your return
- **$246,752 or more**, enter $14,156 on line 30000 of your return

Otherwise, complete the calculation below.

Base amount				14,156 00	1
Supplement amount			1,549 00		2
Amount from line 23600 of your return					3
Income threshold		– 173,205 00			4
Line 3 minus line 4		=			5
		÷ 73,547 00			6
Line 5 divided by line 6		=			7
		× 1,549 00			8
Line 7 multiplied by line 8		=	▶ –		9
Line 2 minus line 9 (if negative, enter "0")			=	▶ +	10
Line 1 plus line 10 Enter this amount on **line 30000** of your return.			**(maximum $15,705)**	=	11

Line 30100 – Age amount

If the amount from line 23600 of your return is:

- **$44,325 or less**, enter $8,790 on line 30100 of your return
- **$102,925 or more**, enter "0" on line 30100 of your return

Otherwise, complete the calculation below.

Maximum amount			8,790 00	
Amount from line 23600 of your return	80000 00			2
Income threshold	– 44,325 00			3
Line 2 minus line 3 (if negative, enter "0")	= 35675 00			4
Applicable rate	× 15%			5
Line 4 multiplied by the percentage from line 5	= 5351 25	▶ –	5351 25	6
Line 1 minus line 6 (if negative, enter "0") Enter this amount on **line 30100** of your return.			= 343875	7

Line 30300 – Spouse or common-law partner amount

Schedule 5

Claim this amount if, at any time in the year, you supported your spouse or common-law partner and their net income from line 23600 of their return (or the amount that it would be if your spouse or common-law partner had filed a return) was less than your basic personal amount (**plus** $2,616 if your spouse or common-law partner was dependent on you because of an impairment in physical or mental functions).

If you had to make support payments to your current or former spouse or common-law partner and you were separated for only part of 2024 because of a breakdown in your relationship, you can claim whichever amount is better for you:

- the amount on line 22000 of your return for deductible support payments made in the year to your current or former spouse or common-law partner
- the amount on line 30300 of your return for your spouse or common-law partner

If you reconciled with your spouse or common-law partner and were living together on December 31, 2024, you can claim an amount on line 30300 of your return and any allowable amounts on line 32600 of your return.

Only one spouse or common-law partner can claim the amount on line 30300 for each other for the same year.

		Month Day	
Did your marital status change to a status **other than** married or living common-law in 2024? If **yes**, tick this box and enter the date of the change.	55220 ☐		
Basic personal amount from line 30000 of your return		15705 00	1
If you are eligible for the Canada caregiver amount for your spouse or common-law partner, enter $2,616 (see line 30425 on page 4).	51090 +		2
Line 1 plus line 2		= 15705 00	3
Your spouse's or common-law partner's net income from line 23600 of their return (1)		– 3000 00	4
Line 3 minus line 4 (if negative, enter "0") Enter this amount on **line 30300** of your return.		= 12705 00	5

(1) If you were living with your spouse or common-law partner on December 31, 2024, use their net income for the whole year even if you separated for part of the year (then you got back together and started living together again in 2024), you got married in 2024 or became a common-law partner or started to live with your common-law partner again in 2024.

If you separated in 2024 because of a breakdown in your relationship and were not back together on December 31, 2024, reduce your claim by the amount of your spouse's or common-law partner's net income before the separation.

If your spouse or common-law partner is a non-resident, enter their net income in Canadian dollars. The CRA may ask you to provide supporting documents later.

Line 30400 – Amount for an eligible dependant

Claim this amount if, at any time in the year, you supported an eligible dependant and their net income from line 23600 of their return (or the amount that it would be if your eligible dependant had filed a return) was less than your basic personal amount (**plus** $2,616 if the eligible dependant was dependent on you because of an impairment in physical or mental functions).

If you did **not** claim an amount on line 30300 of your return, you may be able to claim this amount for one dependant if, at any time in the year, you met **all** the following conditions:

- You did not have a spouse or common-law partner or, if you did, you were not living with them, supporting them, or being supported by them
- You supported the dependant in 2024
- You lived with the dependant (in most cases in Canada) in a home you maintained. You **cannot** claim this amount for a person who was only visiting you

In addition, the dependant must also be one of the following persons by blood, marriage, common-law partnership or adoption:

- your parent or grandparent
- your child, grandchild, brother or sister **under 18 years of age**
- your child, grandchild, brother or sister **18 years of age or older** with an impairment in physical or mental functions

Line 30450 – Canada caregiver amount for other infirm dependants age 18 or older

Schedule 5

You can claim an amount for each dependant who meets **all** of the following conditions:

- They were dependent on you because of an impairment in physical or mental functions
- They were 18 years of age or older
- They were your (or your spouse's or common-law partner's) child, grandchild, parent, grandparent, brother, sister, aunt, uncle, niece or nephew
- They were a resident of Canada at any time in the year. You **cannot** claim this amount for a person who was only visiting you
- Their net income from line 23600 of their return (or the amount it would be if the dependant had filed a return) was **less than $28,041**

You **cannot** claim an amount on line 30450 of your return for dependants who do not have an impairment in physical or mental functions, including a parent or grandparent.

A **parent** includes someone you were completely dependent upon and who had custody and control of you when you were under 19 years of age.

A **child** includes a person who is under your custody and control, and is wholly dependent on you for support, even if they are older than you.

If you or another person is claiming an amount on line 30300 or on line 30400 of the return for the dependant, you **cannot** claim an amount on line 30450 of the return for that dependant.

If you had to make support payments for a child, you **cannot** claim an amount on line 30450 of your return for that child. However, if you were separated from your spouse or common-law partner for only part of 2024 because of a breakdown in your relationship, you may be able to claim an amount for that child on line 30450 of your return if you do not claim any support amounts paid to your spouse or common-law partner on line 22000 of your return. Claim whichever is better for you.

Note: If you and another person support the same dependant, you can split the claim for that dependant. However, the total amount of your claim and the other person's claim **cannot** be more than the maximum amount allowed for that dependant.

Complete the chart below for each dependant who meets the conditions above.

formation about your dependant

First and last name		
Dave		
Address	Year of birth	Relationship to you
	84	Son

Base amount	28,041 00	1
Infirm dependant's net income from line 23600 of their return	– 3200 00	2
Allowable amount for this dependant: Line 1 minus line 2 (if negative, enter "0") **(maximum $8,375)**	= 8375 00	3

Enter on **line 30450** of your return the total of allowable amounts claimed for **all** dependants.

Enter the number of dependants you are claiming this amount for. **51120** 2

See the privacy notice on your return.

Line 30450 – Canada caregiver amount for other infirm dependants age 18 or older

Schedule 5

You can claim an amount for each dependant who meets **all** of the following conditions:

- They were dependent on you because of an impairment in physical or mental functions
- They were 18 years of age or older
- They were your (or your spouse's or common-law partner's) child, grandchild, parent, grandparent, brother, sister, aunt, uncle, niece or nephew
- They were a resident of Canada at any time in the year. You **cannot** claim this amount for a person who was only visiting you
- Their net income from line 23600 of their return (or the amount it would be if the dependant had filed a return) was **less than $28,041**

You **cannot** claim an amount on line 30450 of your return for dependants who do not have an impairment in physical or mental functions, including a parent or grandparent.

A **parent** includes someone you were completely dependent upon and who had custody and control of you when you were under 19 years of age.

A **child** includes a person who is under your custody and control, and is wholly dependent on you for support, even if they are older than you.

If you or another person is claiming an amount on line 30300 or on line 30400 of the return for the dependant, you **cannot** claim an amount on line 30450 of the return for that dependant.

If you had to make support payments for a child, you **cannot** claim an amount on line 30450 of your return for that child. However, if you were separated from your spouse or common-law partner for only part of 2024 because of a breakdown in your relationship, you may be able to claim an amount for that child on line 30450 of your return if you do not claim any support amounts paid to your spouse or common-law partner on line 22000 of your return. Claim whichever is better for you.

Note: If you and another person support the same dependant, you can split the claim for that dependant. However, the total amount of your claim and the other person's claim **cannot** be more than the maximum amount allowed for that dependant.

Complete the chart below for each dependant who meets the conditions above.

formation about your dependant

First and last name		
Mother		
Address	Year of birth	Relationship to you
	83	Mother

Base amount	28,041 00	1
Infirm dependant's net income from line 23600 of their return	– 7000 00	2
Allowable amount for this dependant: Line 1 minus line 2 (if negative, enter "0") **(maximum $8,375)**	= 8375 00	3

Enter on **line 30450** of your return the total of allowable amounts claimed for **all** dependants.

Enter the number of dependants you are claiming this amount for. **51120** 2

See the privacy notice on your return.